Offer or Just Invitation to Offer?

price tag is not a promise!

Business Laws

In simple words *An offer can be accepted to make a contract. An invitation only asks people to come and make an offer.*

1 Offer (Proposal)

A person shows willingness to do or not do something, to get the other's assent, and is ready to be bound once assent is given.

Willingness to be bound is the test

2 Invitation to Offer

A step before an offer. It only invites others to make offers, so it cannot be accepted to form a contract.

Not an offer, no acceptance possible

1. Test: did the maker intend to be bound on simple acceptance?
2. Goods with price tags, price lists, catalogues, tender notices and auction announcements are invitations to offer.
3. A reward advertisement for anyone who performs a condition is a general offer (Carlill v. Carbolic Smoke Ball Co.).
4. Do not decide by the word used. Decide by intention to be bound.



Swipe for the summary →

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Offer vs Invitation

Offer vs Invitation to Offer

compare and conquer!

Test	Offer	Invitation to offer
Intention	Ready to be bound on acceptance	Only invites others to make offers
Reply by other side	Acceptance makes a contract	Reply is itself the offer
Examples	Reward ad; a bid at auction	Price tag, catalogue, tender notice
Who then accepts?	The other party	The one who invited

Shop invites, you offer! For displayed goods, the customer makes the offer and the seller accepts or refuses it.

Swipe for a memory trick →

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STUDY TRICK

Offer vs Invitation to Offer

picture the shop counter

TAG INVITES, COUNTER ACCEPTS

You carry the tagged item to the counter. That act is your offer. The cashier accepts by billing it. The tag only invited you.

HOW TO ATTEMPT IT

1 Spot the statement or display → 2 Ask: ready to be bound on yes? →

3 If yes, it is an offer → 4 If it only invites bids, it is an invitation →

5 Check for a general offer (reward ad)

EXAM TIP

In MCQs, look for words like price list, catalogue, tender notice, auction announcement. These point to invitation to offer.

DOUBT BUSTER

Why is a price tag not an offer? If it were, the shopkeeper would be bound to sell to every taker, even for a wrong tag or no stock. So the customer offers and the seller may accept or refuse.

Swipe for common mistakes →

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COMMON MISTAKES

Offer vs Invitation to Offer

these cost easy marks!

✗ Goods with a price tag in a shop window are an offer.

✓ They are an invitation to offer. The customer's offer to buy is accepted by the seller.

✗ A tender notice is an offer and each tender is an acceptance.

✓ The notice is an invitation. Each tender is an offer, and the notice issuer accepts one.

✗ A reward advertisement is only an invitation to offer.

✓ It is a general offer. Performing the condition is acceptance (Carlill v. Carbolic Smoke Ball Co.).

✗ At an auction, the bid is an acceptance.

✓ The auction announcement is an invitation. The bid is an offer, accepted by the auctioneer.

TOMORROW'S CA FOUNDATION MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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